



Q2 2024 AMAA Transcript
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Steve Huffman: Alright, hi, Reddit. I am Steve Huffman, co-founder and CEO, joined today by Jen Wong, our COO, and Drew Voller, our CFO, and we're here to answer your questions. We just posted our second quarter results. We took a couple of questions in our earnings call, and we're trying to get through more or less the rest of them here for you. Our goal with this is, of course, to answer questions for you the same way we would, you know, the institutional or professional investors. And so hope you find this useful. We do appreciate all the great questions that we got. So let's just dive in. Okay?

01:00

Steve Huffman: So the first question is, can you talk about your efforts to onboard new users making it even more friendly to larger audiences? How would you best advise us to advocate for the unique and authentic value proposition Reddit provides?

Okay, so broadly, I kind of look at this in 2 dimensions. We have great content and communities for most new users, particularly in English. And so a lot of our efforts over the last couple of years, which are working, have been focused on more effectively revealing the content and communities that we have. So this is our work on onboarding, on community discovery, on community recommendations. Maybe you've seen those in your home feeds. Those are all really kind of working pretty well. And you've probably also seen, if you've been on Reddit a while, noticed that Reddit is more of a kind of a home feed bespoke experience. A personalized experience for you, versus the one-size-fits-all popular feed that was really the core of the Reddit product. For the first 15 years that transition's been really important. And really, that just means Reddit is more relevant to new users, which drives growth.

Now, the second dimension to this is, how do we grow outside of English? And so one of the most exciting things we're doing here is machine translation using large language models. So we've built that we were doing this long test in French, in France, that went very well. So now, if you're that's now in GA or general availability, which basically means the vast majority of users in France, speaking French, can see the machine translated content. We call that the immersive experience. And now we're moving on to other languages. And so that I think will be a real, or has the potential to be, a real accelerant growing outside of the United States.

And then, as far as how you can advocate for Reddit. First, thank you for doing that. Here's how I do it. I describe Reddit as a place with, you know, where whatever you're into or whatever you're going through, you can find on Reddit. Small decisions like, what should I watch tonight? Big decisions like, where should

I live, or should I take this job, or how should I handle this relationship? They're all on Reddit. But I also tell people that you can be yourself on Reddit. Truly yourself. In a way that can be difficult elsewhere, online or on social media. Because your Reddit persona is not attached to your real world persona, and I think that separation allows people to be more authentic and sometimes more vulnerable than they would be elsewhere. And I think that's one of the things that makes Reddit special.

03:49

Steve Huffman: Okay? Next question. There's a couple of questions that I'll summarize as: any plans to modify the award system display and expand to more awards?

Short answer, yes. So we got the kind of basic award system kind of relaunched on top of the new kind of gold payments platform. So that's out. The next step is to continue to iterate on that. So you know, improve the UI, fiddle with the UI, more awards. Just kind of keep going down that path. But we're also looking to build more products on top of the gold system. So this could be things like subreddit subscriptions, for example. But I think we got a lot of work to do there. But we're happy we got the foundation there. But I think you know, plenty to keep us busy.

04:38

Steve Huffman: Okay, next question. Is there a priority around increasing conversion of logged out DAU to logged-in DAU? Or are you viewing those as 2 separate target markets?

Great question. So, it depends where the user is coming from. If it's a logged out user from a 3rd party search, they have specific needs. They're probably on Reddit getting an answer to their question. And so the way we approach that now is we let them do so. You get the answer on Reddit. You go about your day. They're not necessarily looking to join a community in that moment. We used to be more aggressive with users coming from search. Maybe you remember this on mobile web. We're very aggressive, like download the app and login. It didn't work, it was not a great experience. It was just making people mad. So we've basically rolled that back. And now we think if you're coming from search, get the answer. Go on with your day. Learn that Reddit has the answers. Now, if you're a logged out user opening the app directly or visiting reddit.com directly. Those users we work very hard to retain because they're coming potentially to be a Reddit user to join communities. So we help them find relevant communities. We encourage them to log in, and we work really hard to make sure they see relevant content so hopefully return. So it really kind of depends not necessarily logged out, logged in. But why are they coming to Reddit? And if they're coming with the potential to join Reddit. That's the group we really focus on. The good news is, we've moved new user retention for that cohort pretty consistently for the last year. And that's what's driving the overall user growth.

06:17

Steve Huffman: Okay, so a couple more questions on user growth. The question is, these growth numbers are so high, that begs to question whether the current usage run rate is sustainable, or if it's being driven by seasonal events. For example, in 2022, we saw very modest WAUq growth numbers. Are we at risk of not being able to have negative growth next year, or at risk of not growing next year, I think, is what you're asking.

The second part of your question is, considering the past US election cycles and election cycles elsewhere in the world, can you provide some color about how usage of Reddit changes post-election? Can I say that people come for the election discussion and stay for the memes?

Okay, very good questions. So the major driver of Reddit growth, we believe, is product quality. We've grown over a million users, 11 of the past 12 months. We don't usually grow seasonally or in response to major events. Yes, like individual subreddits do. You know, for example, the Olympic subreddit right now is very, very popular. And outside of the Olympics, it's very, very quiet. That's super common across lots of subreddits. There's a TV show. There's a video game launch. There's something newsworthy. But when you zoom out they tend to, because we have so many subreddits, those subreddits having a moment tend to smooth out when you look at overall usage or traffic growth. And so yeah, there's always something happening on Reddit is the short version of our answer. There we're happy because right now we're growing for the right reasons, which is quality, news, or retention, which makes us confident looking forward.

So as for the post-election traffic. You actually almost made a joke that we make a lot at Reddit. But it's not even really a joke. What we say is, people come for the cats, and stay for the community.

That is, they come for the memes, the news, the headlines. But eventually, they find communities that they connect with, and then they can become a Redditor.

And so we see this pattern play out over and over again. My experience with politics, specifically, for better or for worse, is it never really goes away. And I say this as the creator of the politics subreddit. So yeah, it heats up during election seasons. But then in my experience, it just stays hot. So I think any reason to be on Reddit, enjoying the content, is a great reason to be on Reddit. It's good for our business.

08:57

Steve Huffman: Okay. Now, there's a bunch of questions on the data licensing deals. So I'll summarize them and I'll try to get into the specifics. How are Reddit's data licensing deals structured? Can partners walk away with models trained on Reddit's data? What does the future of partnerships or growth look like?

Okay, so big picture, we like Reddit content being out there. We like having relationships. But what's changed in the last year is we can't assume, and we don't assume, that 3rd parties crawling Reddit and taking Reddit's content, is in the best interest of our users or our platform. We need to be intentional about this. So that's why we released the public content policy a few months ago, basically setting the rules of engagement. Which is, we're open for business. We'll do commercial deals. We'll do non-commercial deals, for example, for research or nonprofits or folks like Internet Archive. We'll do big deals. We'll do small deals. But we need to be very intentional about who we're working with and put some guardrails on where our data goes and what it's used for. The deals that we've done so far, the partnerships we've done so far, they're medium term, which I think is right. So they're not one year, but they're not too long. I think this gives both sides the opportunity to adapt to these relationships and to this new market.

There's a question about blocking everybody by Google. I do want to clarify that we did not block everybody but Google. We also have a relationship with OpenAI, with the Internet Archive, with researchers. And we continue to be in talks with basically everyone. So again, I think more relationships is better for the Internet, is better for the ecosystem. But with guardrails to protect user privacy, user identities, our business. I think all of these things are really important.

In terms of risk to Reddit, you know, people taking our data once, using it to train a model, and then ending the relationship. What we've seen is that folks need up-to-date Reddit content. A search engine that stopped crawling years ago isn't that useful. And it's the same with training. So up-to-date information is valuable. And that's really what we're providing.

11:11

Steve Huffman: Okay, now, we're gonna switch to I think a few questions for Jen and Drew. Jen, how about you just narrate and answer your own questions? I think that'd be a little bit easier. So Jen over to you.

11:25

Jen Wong: Okay, 1st question. In terms of revenue growth, do you think there is more potential to increase the ARPU of the existing user base? Or is the revenue growth going to come from increasing the number of active users?

Good question. In short, I think both are opportunities. So we manage to revenue growth and user growth. And ARPU is just the math. It's actually an output. We don't have somebody who manages ARPU. So I expect that it's going to bounce around when we have more of one or the other. But we do aim to grow ARPU and users over the long term. Now I do think we have a lot of opportunity to grow ARPU and users.

Users, I think we have a really unlimited, addressable market. We're just at the beginning of our international journey, non-English. And Steve talked about that for machine translation. We're very optimistic about scaling that experience. And in general we have a lot of headroom for users, because Reddit's experience is universal.

We also have headroom in ARPU. So if you think about the drivers of ARPU, one might be engagement. So while new Reddit users may start lower on engagement, the Reddit vintages get better year on year, as users spend more time on Reddit. Which means more ARPU potential as new users season.

The second is ad value, so we can continue to improve the performance of our ad platform, and the value that advertisers get to return on their ad spend and also bring in more demand. More advertisers competing in our auction that'll increase the value of each ad unit.

And then finally, you know, while we don't think of ad load as a lever we go to, there are spaces on Reddit that we haven't designed ads for yet, that are an opportunity.

Search, even some of the video experiences, even conversation placements, on the conversation page. So that's an opportunity. I will say that the bedrock of our inventory are logged in users, so revenue is growing faster than the growth of logged in users. We know that we're growing the value of our most valuable users.

Okay. Drew, I'll pass it to you.

13:43

Drew Vollero: Sure. Next question comes and it says, when is profitability projected?

And so my thoughts on that are twofold. One is, we look at profitability on both a non-gaap and a gaap basis. On a non-gaap basis, we're profitable today. You just saw in the second quarter results we released, Adjusted EBITDA was about 40 million dollars. It was 10 million dollars in the 1st quarter, and in the 3rd quarter we guided to 40 to 60 million. So we are profitable on a non-gaap basis. On a gaap basis, we were not profitable. In the second quarter we lost 10 million dollars. The good news is that, you know, we made significant progress year over year. We had lost 41 million in the prior year, so significant progress. In terms of when we will be profitable on a gaap basis. Today, we forecast our business for revenue and Adjusted EBITDA. We're not forecasting our business at the gaap level yet, or the net income level.

So what we do like in the business right now are the trends you saw from our second quarter release. We're getting about 75 cents on every dollar to the Adjusted EBITDA line, which is good to see. We got 76 cents in the dollar in the second quarter, and 76 cents for the 1st half of the year, so overall the flow

through has been terrific. I think, for us to kind of cover that last 10 million, which is what we lost here in the second quarter. It's gonna be a combination of continued cost control which over the past 4 quarters our expenses have been growing, you know, high single digits, low double digits, and then revenue growth. We just came off a quarter where we grew 54%. We'll see how things play out in the back half of the year. But really, at the end of the day it's going to be a combination of both of those things that will make us profitable on a gaap basis. I will tell you it is something that's important to the management team. Here again, we haven't circled to date. But it is something that is one of the things that we would like to become as a company, as a public company. Okay.

15:49

Drew Vollero: So in terms of the next question, could you please include the adjusted earnings per share in your press release. It's pretty standard now for earnings and makes it easy to compare.

Okay, I think it's a good question. We did so, my short answer is, we'll take a look at it. My sense is our share count isn't moving enough and Adjusted EBITDA probably is what you're looking at. But again, we'll take a look at it. We did discuss it, you know. We did all our filings from scratch just a couple of quarters ago. That's one of the things that you do when becoming a public company. We did look at and discuss internally whether we wanted to do adjusted earnings per share. We decided to just do Adjusted EBITDA. We think that's very standard in the industry, adjusted earnings per share, maybe a little less standard. But it is something we can take a look at. I think it's most relevant for companies that are really moving their share counts a lot. You may have seen in my commentary in the second quarter, our share count didn't really move much at all in the second quarter, so de facto adjusted earnings really are just the changes in AEBITDA. So anyway, we'll take a look at it and see if we want to make any changes. But I think overall Adjusted EBITDA is probably going to get you what you want in terms of measuring the performance of the company quarter over quarter or year over year.

Okay, let me turn things over to Jen on the next question.

17:04

Jen Wong: Okay, great. There's a question which reads, are there any specific details regarding AI related revenue?

So on our call, we mentioned that other revenue, which is where the data licensing revenue sits, grew over 690% year over year in Q2. And that was primarily driven by data licensing agreements signed in the 1st half of the year. The 2 large ones that Steve mentioned, plus a series of marketing intelligence partners like Cision and Sprinklr that we also announced.

We've worked through the head and the torso on many of the marketing intelligence partners, and we aren't focused on the tail. I will say that we have low visibility into more AI data licensing deals. But we continue to be in discussions with all the key players.

17:55

Jen Wong: Okay, next question on ads. Any plans for (tap to play) gif/video ads? Entertaining ads would be engaging. Any plans to improve ad targeting? Seems to be better for both advertisers and users. Maybe opt-in by the contributor program?

Not sure about that last piece. But I can talk to video ads and ads in general. So a large portion of our ad creative today is in the video format. It's auto-play in the feed. And it's click to play in the conversation placements. And they're used in service of brand awareness objectives, or even performance objectives. So where somebody's looking to acquire a new customer for purchase or add to cart. And video consumption is growing on Reddit. But today, video ads, where advertisers pay for a completed view of a video ad, is a small part of our business. And as we develop a consumer experience, that's more video immersive, which is something that we are thinking about, this can become a bigger opportunity. So that's something that we continue to think about. Given the natural affinity for video on the platform.

Regarding ad targeting, 90% of the targeting on Reddit is 1st party. Using interest and context. And we'll continue to improve targeting through stronger signal collection from the conversion API, from partners integrating that signal and sending it back to our models. And as we grow demand in our auction and the number of advertisers, we also have broader diversity to pick from. So there'll be more opportunities for ad relevance. We're continuing to work on improving things like how we map interest to subreddits which don't always have obvious names, or which cross multiple interest topics. And that'll give us an even better footprint of targeting across all of Reddits communities.

Okay, Steve, let me pass it back to you.

20:00

Steve Huffman: Okay, thank you both. Last question. With Reddit's increase in popularity, its user base is much more valuable to target by brands, political campaigns, and even state actors using AI, chatbots, and inauthentic account forms. What are you doing to prevent this, and preserve its value of having authentic options or authentic opinions?

Great question. So first, Reddit is more naturally inoculated from this sort of manipulation because of the community voting structure. And things don't become popular on Reddit unless they're made popular by a community of people voting it that way. Now that said, it is a real threat, and we put a lot of effort into this on the backend. It's an arms race. You know, the bad guys get better, and then we get better, and we go back and forth. And so it's forever work. We have a team dedicated to this and have for a long time, and we've been doing this for almost 2 decades. We are now specifically focused on detecting AI generated content, which, by the way, is not all bad, you know. Think about, you know, grammar help for non-native speakers or machine translation, or things like that. But, as you say in your question. The quality and trustworthiness of our content is paramount. And so we have and will continue to put in a lot of effort here to get the best results.

Okay, folks. That's all the questions we have. Thank you so much. I hope this was helpful. We'll keep doing it every quarter. But until then, thank you for using the platform. Thank you for being investors in Reddit or considering it. And take care and be well, thanks all, bye.